Federal Deposit Insurance Corporation

DATE: July 31, 2026

TO: The Board of Directors

FROM: Benjamin K. Olson
Director, Division of Depositor and Consumer Protection

CONCUR: Matthew P. Reed
General Counsel

SUBJECT: Notice of Proposed Rulemaking on the Community Reinvestment Act

I. SUMMARY

Staff recommend that the Federal Deposit Insurance Corporation (FDIC) Board of Directors (Board) authorize publication of the attached Notice of Proposed Rulemaking (proposed rule) to be issued jointly with the Office of the Comptroller of the Currency (OCC) (together, the agencies), with a 60-day comment period. Through this proposed rule, the agencies would amend their Community Reinvestment Act (CRA) regulations to make targeted changes to the existing regulatory framework by proposing certain substantive, technical, and process-oriented changes. These amendments are intended to refocus the agencies' CRA regulations on the statutory objective of encouraging banks to meet the credit needs of their communities; to better ensure that community development grants reach the communities they are intended to benefit; to reduce unnecessary burden, particularly for community banks; and to provide greater clarity for how to obtain CRA consideration. The agencies would also propose certain technical changes to their regulations implementing the CRA sunshine requirements of the Federal Deposit Insurance Act.

II. BOARD ACTION REQUIRED

Board approval is required for the issuance of rules and regulations, unless otherwise delegated.[1]

III. RECOMMENDATIONS

Staff recommend that the Board:

A. Approve the proposed rule and authorize its publication in the *Federal Register* for a comment period ending 60 days after publication.

B. Authorize the Executive Secretary (or designee) and the General Counsel (or designee) to make technical, non-substantive, or conforming changes to the text of the *Federal Register* document to ensure that the FDIC can publish this proposed rule in the *Federal Register*.

IV. BACKGROUND

Congress enacted the CRA in 1977 require the agencies to "assess an institution's record of meeting the credit needs of its entire community, including low- and moderate-income (LMI) neighborhoods, consistent with the safe and sound operation of such institution."[2] Upon completing this assessment, the statute requires the agencies to "prepare a written evaluation of the institution's record of meeting the credit needs of its entire community, including LMI neighborhoods."[3] The statute further provides that the agencies must "take such record into account in its evaluation of an application for a deposit facility by [the] institution."[4]

[1] 12 U.S.C. 1819(a)(Tenth).
[2] 12 U.S.C. 2903(a)(1).
[3] 12 U.S.C. 2906(a).
[4] 12 U.S.C. 2903(a)(2).

The CRA directs the agencies to publish regulations to carry out its purposes.[5] In general, the agencies' CRA regulations, first promulgated in 1978, establish the standards under which the agencies evaluate banks' CRA performance.[6] In 1995, the agencies significantly revised and clarified the 1978 regulations, resulting in the current regulatory framework.[7]

Since 1995, the agencies have engaged in a number of efforts to revise and modernize their CRA regulations and have received significant public feedback. Most recently, on May 5, 2022, the Federal banking agencies issued a joint notice of proposed rulemaking to modernize their CRA regulations.[8] After considering public comments received, the Federal banking agencies issued a final rule (2023 CRA Rule) on October 24, 2023, that was published in the *Federal Register* on February 1, 2024.[9] Several plaintiffs jointly filed suit on February 5, 2024, against the Federal banking agencies in the U.S. District Court for the Northern District of Texas.[10] The plaintiffs sought injunctive relief against the 2023 CRA Rule with respect to their member banks.[11]

On March 29, 2024, the district court granted injunctive relief in favor of the plaintiffs.[12] The district court prohibited the Federal banking agencies from enforcing the 2023 CRA Rule against the plaintiffs pending resolution of the litigation.[13] As a result, the 2023 CRA Rule never went into effect and the Federal banking agencies continue to supervise and examine under the 1995 framework.

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[5] 12 U.S.C. 2905.
[6] 43 FR 47144 (Oct. 12, 1978).
[7] 60 FR 22156 (May 4, 1995).
[8] 87 FR 33884 (June 3, 2022).
[9] 89 FR 6574 (Feb. 1, 2024).
[10] Complaint, *Tex. Bankers Ass'n v. Office of the Comptroller of the Currency*, No. 2:24-cv-00025-Z (N.D. Tex. Feb. 5, 2024), ECF No. 4.
[11] Plaintiff's Motion for a Preliminary Injunction, *Tex. Bankers Ass'n v. Office of the Comptroller of the Currency*, No. 2:24-cv-00025-Z (N.D. Tex. Feb. 9, 2024), ECF No. 19.
[12] *Tex. Bankers Ass'n v. Office of the Comptroller of the Currency*, 728 F.Supp.3d 412, 429-30 (N.D. Tex. 2024).
[13] *See id.*

On July 18, 2025, the Federal banking agencies published the notice of proposed rulemaking (2025 Rescission Proposal) in the *Federal Register*.[14] After considering the public comments submitted on the 2025 Rescission Proposal, staff recommend that, instead of finalizing the 2025 Rescission Proposal, the FDIC issue this proposed rule with the OCC.[15]

V. DISCUSSION

Based on the extensive feedback the agencies have received on the current rules, the results of the litigation regarding the 2023 CRA Rule, and the agencies' supervisory experience examining banks for compliance with the CRA, the agencies are proposing targeted changes to their current rules. These changes seek to refocus the agencies' CRA supervision on their statutory mandate to encourage the banks under their supervision to meet the credit needs of their local communities, including by increasing the focus on lending and by better ensuring that community development grants benefit communities. These changes are also intended to address specific and known challenges associated with the current rules by improving clarity and reducing unnecessary burden, especially for community banks, and to better ensure that, when banks receive credit for providing certain types of community development funding, the funds reach the communities they are intended to benefit instead of being diverted to other activities or excessive operating costs.

As a general matter, the proposal provides continuity and minimizes disruptions by leaving much of the current framework unchanged. For example, large banks would remain subject to lending, investment, and service tests that evaluate their retail lending and services, as well as their community development (CD) activities. Small banks and a new category —

[14] 90 FR 34086 (July 18, 2025).
[15] The Board of Governors of the Federal Reserve System may ultimately take an alternative course of action. That decision is at the discretion of the governors.

intermediate banks (which would replace the current rules' intermediate small bank category) — would remain subject to a tailored lending test, with a tailored CD test for intermediate banks. Banks would retain the option to be evaluated, as appropriate, (1) as limited purpose or wholesale banks based on their CD activities; or (2) under a strategic plan based on specified measurable goals.

Notably, the proposal would also leave the current assessment area framework largely unchanged.[16] While the agencies recognize that banks' customer bases are increasingly geographically dispersed, the CRA statute focuses on the geographic area(s) surrounding a bank's physical facilities. For this reason, the agencies are not proposing significant changes to the current assessment area framework, which is largely tied to a bank's physical location(s).

Increase Focus on Lending

As discussed above, 12 U.S.C. 2903(a) requires an agency to assess a bank's record of meeting the credit needs of its entire community, including LMI neighborhoods. In the agencies' judgment, a community's credit needs are most directly met through activities that involve lending. As a result, the agencies are proposing several targeted revisions to the current rules.

The proposal would modify how the agencies consider retail banking services that are considered in a CRA evaluation by highlighting a bank's services pertaining to credit products. Specifically, the proposal would narrow the range of services considered as retail banking services under the current rule to limit them to the range and availability of a bank's "credit services" — and exclude, for example, deposit services — as well as the distribution and

[16] The CRA statute instructs the agencies to assess a bank's record of meeting the credit needs of its "entire community, including [LMI] neighborhoods…." 12 U.S.C. 2903(a). While the statute does not prescribe the delineation of assessment areas, the assessment area framework in the current rules requires banks to identify geographic areas around their physical locations within which the agencies evaluate the bank's record of helping to meet the credit needs of its community.

availability of a bank's retail banking facilities.

Additionally, to further focus on lending, the proposal would clarify the concept of "responsiveness," a qualitative consideration that would apply to retail and CD activities under the proposal, and would define the term of "complexity," one component of responsiveness. Under the proposed definition, CD investments, grants, or services that are a necessary or otherwise beneficial component of a multicomponent financing transaction involving a loan would be considered complex, as would CD lending and certain CD investments that require specialized lending expertise. Codifying qualitative concepts such as "responsiveness" and "complexity" would provide more certainty and transparency for banks when developing CRA programs for the benefit of the communities they serve.

Ensure that Community Development Grants Benefit Communities

The proposal would modify the treatment of grants and donations for purposes of (1) the investment test; (2) the intermediate bank CD test; and (3) the limited purpose or wholesale bank CD test. Currently, grants and donations are considered qualified investments, but they differ from other types of qualified investments that involve more structured financing and are more akin to lending, such as securities that are the functional equivalent of a loan, securities backed by loans, bonds, and other equity investments. Under the proposal, a bank would only be permitted to receive CRA consideration for grants and donations directly used by the recipient for a program, project, or initiative with a primary purpose of community development in the bank's local community. For large banks, the proposed rule would also impose a 15 percent cap on the indirect costs that any recipient could incur as a part of administering a grant or donation. The proposal would also require more transparency regarding a bank's CD activities. The agencies intend these modifications to better ensure that CD grants, like CD loans and CD investments, provide direct benefits to banks' communities, consistent with the CRA's focus.

Streamlining

The agencies propose three categories of changes to the current rules to streamline requirements, especially for community banks. First, the agencies propose three asset thresholds: (1) below $1 billion for a small bank; (2) $1 billion to $10 billion for an intermediate bank; and (3) above $10 billion a large bank. These changes would reflect the significant growth in the asset sizes of banks since the agencies set the current asset size thresholds.[17] As a result of this change, banks with under $10 billion in total assets (proposed small banks and proposed intermediate banks) would be subject to fewer data collection, maintenance, and reporting requirements.

Second, the agencies propose that under both the large bank lending test and the small and intermediate bank lending test, they would consider only a bank's major product line(s) when assessing its retail lending (*i.e.*, consumer, home mortgage, small business, and small farm loans). These changes would tailor the lending test to focus on product lines that make up most of a bank's record of serving community credit needs, thus enabling banks to better focus their resources to more effectively manage their CRA programs.[18]

Finally, the agencies also propose to revise the public file and public notice requirements

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[17] *See* 60 FR at 22180 (1995) (setting small bank asset size threshold at $250 million); 70 FR 44256, 44266 (Aug. 2, 2005) (setting large bank asset size threshold at $1 billion and introducing annual inflation adjustments).

[18] The agencies are considering two alternatives for the proposed major product line approach, both of which are reflected in the proposed regulatory text. Under the first alternative (Option 1), the agencies would generally use a quantitative, bank level approach to evaluate a bank's retail lending in two of the four retail lending product lines (home mortgage, small business, small farm, and consumer lending). The two product lines evaluated would be considered the bank's major product lines. Under the second alternative (Option 2), the agencies would use an assessment area level approach that is both qualitative and quantitative to determine a bank's major product lines, similar to the current rules' methodology for determining major product lines for small banks, including intermediate small banks. Under either proposed approach, the agencies would only consider consumer lending to be a major product line if consumer lending constitutes a majority of the bank's retail lending by both dollar amount and loan count, or at the bank's option.

by (1) no longer requiring a bank to provide a paper copy of the information in its public file; (2) permitting a bank to make the information in its public file available on its public website; and (3) allowing a bank to satisfy its public notice requirement by identifying the website on which the bank posts information about its CRA performance. These changes would allow banks to use readily accessible technology to satisfy these requirements, while continuing to ensure that the public can easily access important information about a bank's CRA performance.

Increase Clarity and Objectivity

The proposal would also make a number of changes to the implementation of the current rules that would increase the clarity, transparency, and objectivity associated with evaluating a bank's CRA performance. These changes are in response to public feedback that the agencies have received about the provisions addressed below.

First, the agencies propose several changes with respect to CD activities. Specifically, they propose to revise the current principles-based definition of "community development" by clarifying when loans, investments, grants, and services qualify as CD activities. This change would largely codify and clarify current guidance on this topic. In addition, the agencies propose to codify a process under which a bank could seek agency confirmation that a CD activity (*e.g.*, a specific program, project, or initiative) would receive CRA consideration. Further, they propose to clarify when an agency would provide CRA consideration for a CD activity that benefits an area other than a bank's assessment area(s), assuming the bank has already demonstrated that it is helping to meet the credit needs of its assessment area(s). As discussed above, the proposal also would clarify the information a bank must collect from the recipients of community development grants to ensure that the bank receives consideration.

Second, the agencies propose to make the strategic plan option a more viable and less burdensome option for banks by (1) clarifying how to submit, amend, and implement a strategic plan; and (2) providing additional information regarding a plan's measurable goals. These proposed changes also respond to public feedback, namely that the current strategic plan provisions are inaccessible, complex, and burdensome for some banks, particularly for community banks.

Significance Determination

The Office of Information and Regulatory Affairs determined that the proposed rule is a significant regulatory action for purposes of Executive Order 12866.

VI. CONCLUSION

Staff request that the Board adopt the recommendations set forth above.

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